

their issue date. You buy them for less than their face value, and you receive full face value when they mature. Treasury notes pay a fixed rate of interest every six months until maturity, which is from one to ten years.

Treasury Inflation Protected Securities (TIPS)

TIPS work like U.S. Treasury securities except that the principal amount may be adjusted every six months by any subsequent increase in the Consumer Price Index (CPI), which is the U.S. government's chief barometer of inflation. Any subsequent decrease may reduce the principal amount but not below its original face value. Since the interest rate is determined as a percentage of the principal, any increase to the principal will bring about a corresponding increase in interest. The original interest rate on a TIPS will be somewhat lower than a U.S. Treasury bond which has a fixed rate of interest throughout its term. TIPS are issued in terms of five, ten, and thirty years.



Savings bonds are meant to be long-term investments. You can cash them in after you've owned them for one year, but you should wait at least five years. Before five years, you'll pay a penalty equal to three months of interest payments.

Don't Go Overboard

U.S. savings bonds and Treasury securities have a place in your portfolio, but are too conservative to get the lion's share of your investment money. Use them for your cash savings. You'll earn more interest than you would on savings accounts, and Series I Bonds can help protect you from inflation. You can also use them for long-term investments to balance more aggressive and riskier investments, such as stocks.